

INSURANCE AND PENSIONS COMMISSION



QUARTERLY REPORT FOR FUNERAL ASSURERS

FOR THE QUARTER ENDED 31 MARCH 2016

Table of Contents

1.0 Table of Contents	Table	Graph	Page
Industry Overview	1		4
The Number of Operational Institutions	2,3		5
Business Written		1	6
Business Composition	4	2	6,7
Not taken up policies	5		8
Claims Aged Analysis	6		8
Debtors Aged Analysis	7		9
Earnings	8	3	10,11
Asset Quality	9	4	11,12
Capitalisation and Solvency	10	5	13,14
Circulars, Statutory Instruments ¹	11		15
Conclusion			15

2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q1	First Quarter
Q3	Third Quarter
'15	2015
'16	2016
H1	Half year
Var	Variance
F. Funeral	First Funeral
NOTE:	ALL MONETARY FIGURES ARE IN USD

This report is based on direct funeral insurers only and does not include funeral business underwritten by life companies.

3.0 Industry Overview

The funeral industry wrote \$9.3 million in net premiums (Mar 2015: \$9.1 million). Both gross and net premiums for this quarter are 2% above prior year quarter. Total costs increased by 6% from the same review period last year. Consequently, technical profit for the quarter was \$2.5 million unchanged, a 7% increase from the same period in 2015. The expense and combined ratios remained at 26% and 79% respectively. This reflects stringent cost management measures by the industry in sympathy with our previous encouragements.

Total industry assets as at 31 March 2016 were \$53 million an, 11% growth from \$48 million reported for the same period last year.

Prescribed assets are still below the required 7.5% with the average compliancy being below 1%. The Commission fined players as well as inviting compliancy plans in line with the law.

Table 1, below summarizes the aggregated financial indicators of the funeral assurance industry.

Table 1: Summary of Financial Performance by the Funeral Assurance Industry for the period ended 31 March 2016

Financial Aspect	Funeral Assurers		
	Mar-15	Mar-16	Growth
Gross Premiums Written (\$000)	9,101	9,267	2%
Net Premiums Written (\$000)	9,100	9,267	2%
Retention Ratio	100%	100%	0%
Total Gross Claims (\$000)	2,280	2,490	9%
Total Net Claims (\$000)	2,280	2,490	9%
Management Expenses (\$000)	4,149	4,284	3%
Commissions (\$000)	751	868	16%
Total Costs (\$000)	7,181	7,642	6%
Technical Profit (\$000)	1,919	1,627	(15%)
Expense Ratio	54%	55%	1%
Claims Ratio	25%	27%	2%
Combined Ratio	79%	82%	3%
Total Assets (\$000)	47,995	53,042	11%
Total Liabilities (\$000)	17,699	21,635	22%
Current Assets	19,030	17,507	-8%
Current Liabilities	11,909	12,821	8%
Capital (\$000)	30,256	31,406	4%
Capital to liability Ratio	171%	145%	-26%
Liquidity Ratio	146%	137%	-9%
Prescribed Assets (\$000)	243	152	-37%
Prescribed Asset Ratio (%)	2%	1%	-1%

4.0 Update on Operations

The table below shows the total number of registered agents as at 31 March 2016 and the total work force employed by the funeral industry for the same period. Players are encouraged to ensure that all agents are registered with the Commission and that they are paying all statutory levies.

Table 2: Registered Agents and Operational Staff

Name Of Company	Corporate Agents	Sole Agents	Staff	Branches
Cell	0	0	13	2
Doves	0	90	60	24
First Funeral	0	60	45	10
Foundation	0	18	28	1
Moonlight	0	493	122	34
Passion	0	4	5	3
Ruvimbo	0	6	50	8
Sunset	0	10	14	2
Vineyard	3	11	58	5
Total	3	692	395	89

2.Net Premium Distribution

For the year ended 31 March 2016, players wrote \$9.3 million in Net Written Premiums (Mar 2015: \$9.1 million), a 2% growth compared to the same period last year (See Table 3, below). The liquidity challenges accompanied by job cuts slowed growth in the funeral assurance business.

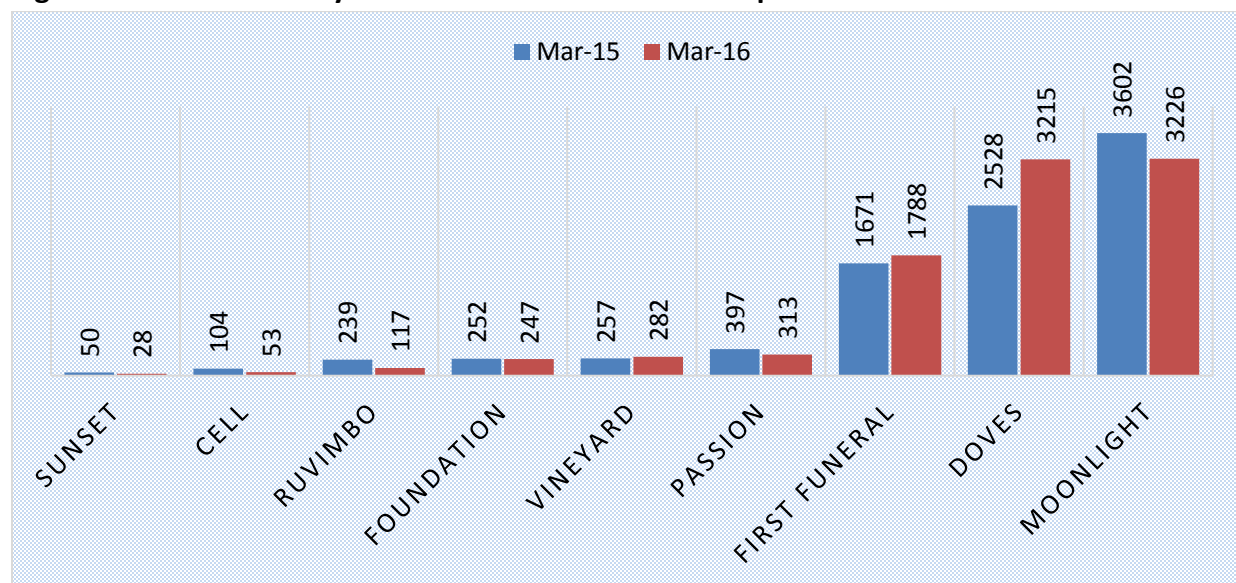
Table 3: Net Premium Distribution by Company for the quarter ended 31 March 2016

Name Of Company	Mar 2015(000)	Mar 2016(000)	Growth
Cell	104	53	-49%
Doves	2,528	3,215	27%
First Funeral	1,671	1,787	7%
Foundation	252	247	-2%
Moonlight	3,602	3,226	-10%
Passion	397	312	-21%
Ruvimbo	239	117	-51%
Sunset	50	28	-44%
Vineyard	257	282	10%
Total	9,100	9,267	2%

3. Market Share

For the period ended 31 March 2016; three funeral assurers wrote 89% of net business up from 86% last year. There is a gap between the top three and the other six players, with the market being highly concentrated towards the “big three”.

Figure1: Market Share by Net Premium Written for the quarter ended 31 March 2016



5.0 Business Composition

For the period under review, the industry wrote \$9.3 million in gross premiums.

In the period under review, Individual policies generated 61% of the total business underwritten while corporate business contributed 39% of the gross premiums written by the funeral industry. New business remains elusive this quarter, with funeral assurers only underwriting 3% of the total business. The remainder of the business, 97%, has been recurring. The liquidity challenges and job cuts are the main challenges affecting growth in this industry.

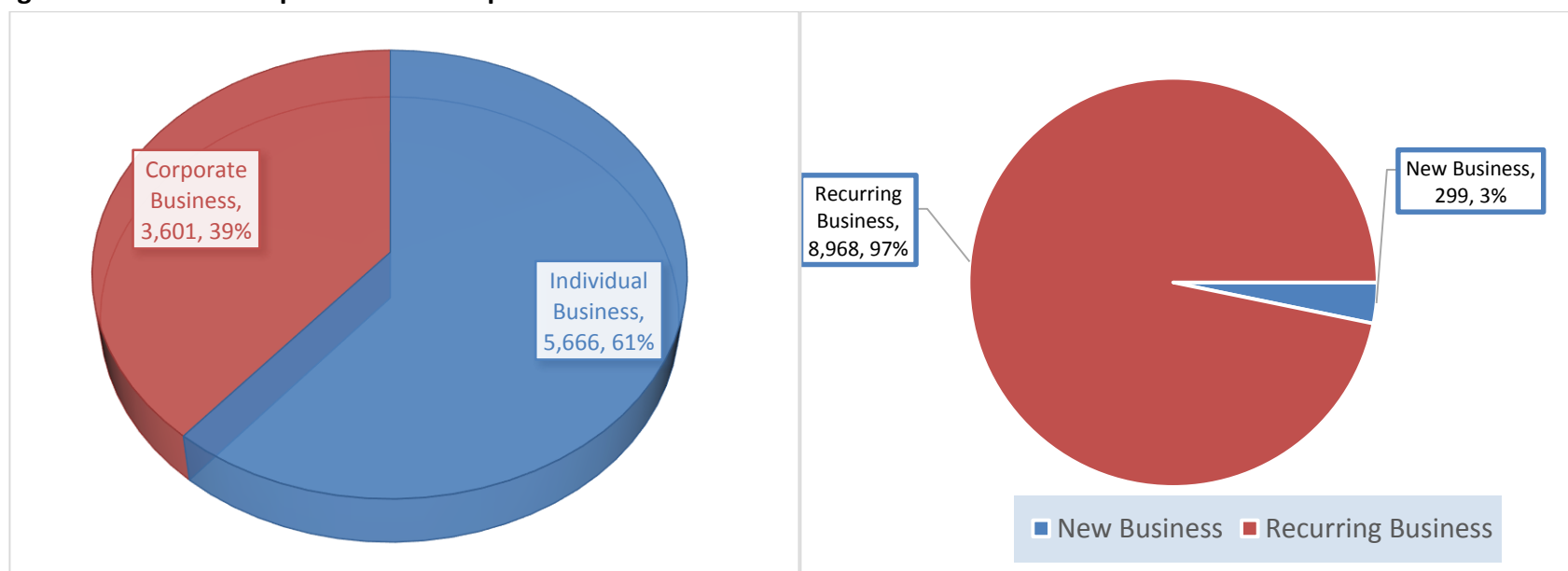
Moreover, direct funeral underwriters are now facing increased competition from life companies who are now underwriting funeral products as well. This may translate to more choice and value creation on the part of policyholders through product innovations, improved benefits policy sweeteners etcetera.

The composition of business underwritten for the period ended 31 March 2016 is as shown in table 4 and Figure 2 below.

Table 4: Business Composition by Company for the quarter Ended 31 March 2016 (000)

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums			Mar-15	Mar-16	Growth (%)
	Mar-15	Mar-16	Growth (%)	Mar-15	Mar-16	Growth (%)	Mar-15	Mar-16	Growth (%)	Mar-15	Mar-16	Growth (%)			
Cell	0	0	0%	44	8	-82%	0	0	0%	63	45	-29%	107	53	-50%
Doves	27	12	-56%	324	395	22%	63	84	33%	2,114	2,724	29%	2,528	3,215	27%
F. Funeral	15	7	-53%	1,656	1,780	7%	0	0	0%	0	0	0%	1,671	1,787	7%
Foundation	8	3	-63%	244	79	-68%	0	0	0%	0	165	0%	8	247	2988%
Moonlight	1	146	0%	530	3,080	481%	104	0	0%	2,967	0	-100%	3,602	3,226	-10%
Passion	8	1	-88%	110	83	-25%	12	2	-83%	268	226	-16%	397	312	-21%
Ruvimbo	43	0	0%	101	0	-100%	29	0	0%	67	117	0%	239	117	-51%
Sunset	2	0	0%	52	28	-46%	0	0	0%	0	0	0%	1	28	2700%
Vineyard	1	0	-100%	256	0	-100%	0	0	0%	305	282	-8%	598	282	-53%
TOTAL	105	169	61%	3,317	5,453	64%	208	86	-59%	5,784	3,559	-38%	9,101	9,267	2%

Figure 2: Business Composition for the quarter ended 31 March 2016



7.0 Not-taken Up policies and Lapsed Policies

For the current reporting period, funeral assurers reported not-taken up policies amounting to \$122 000 and generally acceptable lapse ratios (see Table 5, below).

Table 5: Not-taken up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums (000)	Individual (%)	Group Bus (%)
Cell	17	0	0
Doves	0	0	0
First Funeral	1	54	0
Foundation	9	3	0
Moonlight	78	96	0
Passion	0	0	0
Ruvimbo	17	27	20
Sunset	0	0	0
Vineyard	0	9	6
Total	122	N/A	N/A

8.0 Claims Aged Analysis

The total outstanding claims for the period amounted to \$66 000. The Commission continue to encourage players to have shorter claims payment periods.

Table 6: Claims Aged Analysis (000)

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	7	0	11	0	0	9	0	0	0	36
31-60days	0	0	1	0	0	0	9	0	0	5
61-90days	0	0	0	0	0	0	21	0	0	0
91-120days	0	0	0	0	0	0	28	0	0	0
<121 days	0	0	0	25	0	0	76	0	0	25
Reinsurance	0	0	0	0	0	0	0	0	0	0
Total	7	0	12	25	0	9	135	0	0	66

9.0 Debtors Aged Analysis

For the current reporting period, the industry recorded total premium debtors amounting to \$2.4 million or 26% of the gross premiums underwritten. To improve this scenario, players are encouraged to come up with tailor-made products coupled with premium payment methods which are cognizant of the current liquidity challenges. For example players are encouraged to exercise non cash payments on their payment platforms (see table 7).

Table 7: Debtors Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	3	0	44	5	260	41	9	0	94	456
31-60days	1	0	166	2	186	37	21	0	59	472
61-90days	1	0	45	2	110	35	28	0	43	264
91-120days	0	0	0	5	110	25	77	0	48	265
<121 days	0	0	0	23	636	274	0	0	34	967
Total	5	0	255	37	1302	412	135	0	278	2424

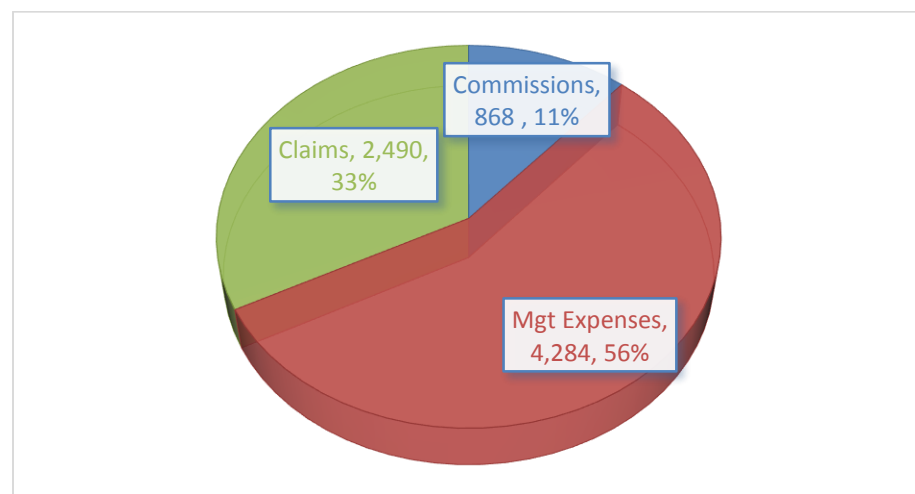
10.0 Earnings

The key earnings indicators for the funeral assurance industry are as shown in Table 8 and Figure 3 below.

Table 8: Key Earnings Indicators by Company for the quarter 31 March 2016

Co. Name	NPW	Claims (000)			Commissions (000)			Management Expenses (000)			Total Costs (000)			Combined Ratio		
	Mar-16	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth	Mar-15	Mar-16	Growth
Cell	53	4	7	75%	1	1	0%	187	68	-64%	192	76	-60%	185%	143%	-42%
Doves	3,215	1,006	1,179	17%	218	305	40%	923	695	-25%	2,147	2,179	1%	85%	68%	-17%
F.Funeral	1,788	560	541	-3%	366	429	17%	568	505	-11%	1,494	1,475	-1%	89%	82%	-7%
Foundation	247	31	36	16%	19	13	-32%	178	175	-2%	228	224	-2%	90%	91%	1%
Moonlight	3,226	561	579	3%	128	95	-26%	1,868	2,426	30%	2,557	3,100	21%	71%	96%	25%
Passion	313	80	57	-29%	1	0	-100%	146	113	-23%	227	170	-25%	57%	54%	-3%
Ruvimbo	538	12	24	100%	3	11	267%	106	101	-5%	121	136	12%	51%	25%	-26%
Sunset	28	1	0	-100%	2	0	-100%	23	39	70%	26	39	50%	52%	139%	87%
Vineyard	282	26	67	158%	13	14	8%	150	162	8%	189	243	29%	74%	86%	12%
Total	9,269	2,281	2,490	9%	751	868	16%	4,149	4,284	3%	7,181	7,642	6%	79%	82%	3%

Figure 3: Cost Distribution for the quarter ended 31 March 2016



For the period under review, operational costs amounted to \$4.3 million or 56% of total costs (March 2015:\$4.1 million or 58%); claims-\$2.3 million or 33% (March 2015:\$2.3 million or 32%) and total commission was 11% or \$0.87 million (March2015:\$0.75 million or 10%) of total costs. Cost management continues to be a critical survival strategy in this challenging economic climate.

The industry recorded an average combined ratio of 82% (March 2015:79%) and claims ratio of 27%.

11. Asset Quality

The total asset base and growth of the funeral industry as at 31 March 2016 is shown in Table 9, Figure 4a & b below.

Table 9: Funeral industry Asset Base as at 31 March 2016

	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets (000)			Total Assets (000)		
	Mar-15	Mar-16	Var	Mar-15	Mar-16	Var	Mar-15	Mar-16	Var	Mar-15	Mar-16	Var	Mar-15	Mar-16	Var	Mar-15	Mar-16	var	Mar-15	Mar-16	Growth
Cell	285	1,208	324%	15	16	7%	747	88	0%	34	11	-68%	84	39	-54%	0	0	0%	1,166	1,362	17%
Doves	3,839	3,609	-6%	16	4	-75%	103	0	-%	97	682	603%	12,136	15,095	24%	169	10	-94%	16,349	19,400	19%
F.Funeral	1,153	894	-22%	5	27	440%	0	0	0%	25	-30	-220%	6,502	7,238	11%	0	0	0%	7,717	8,129	5%
Foundation	1,395	1,395	0%	37	0	0%	34	17	-50%	6	36	500%	622	708	14%	37	77	108%	2,094	2,233	7%
Moonlight	10,117	10,522	4%	0	0	0%	0	0	0%	4	5	25%	3,403	4,182	23%	16	26	63%	13,556	14,735	9%
Passion	639	640	0%	0	0	0%	0	0	0%	31	25	-19%	898	536	-40%	0	0	0%	1,568	1,201	-23%
Ruvimbo	1,083	1,128	4%	0	0	0%	0	0	0%	17	6	-65%	780	1,038	33%	2	6	200%	1,892	2,178	15%
Sunset	1,682	1,694	1%	0	0	0%	0	0	0%	0	0	0%	22	11	-50%	0	0	0%	1,704	1,705	0%
Vineyard	1,365	1,487	9%	0	2	0	5	38	660%	34	44	29%	537	495	-8%	19	33	74%	1,963	2,099	7%
Total	21,558	22,577	5%	73	49	-33%	889	246	-72%	248	779	214%	24,984	29,239	17%	243	152	-37%	47,995	53,042	11%

Figure 4a: Asset Base as at 31 March 2016

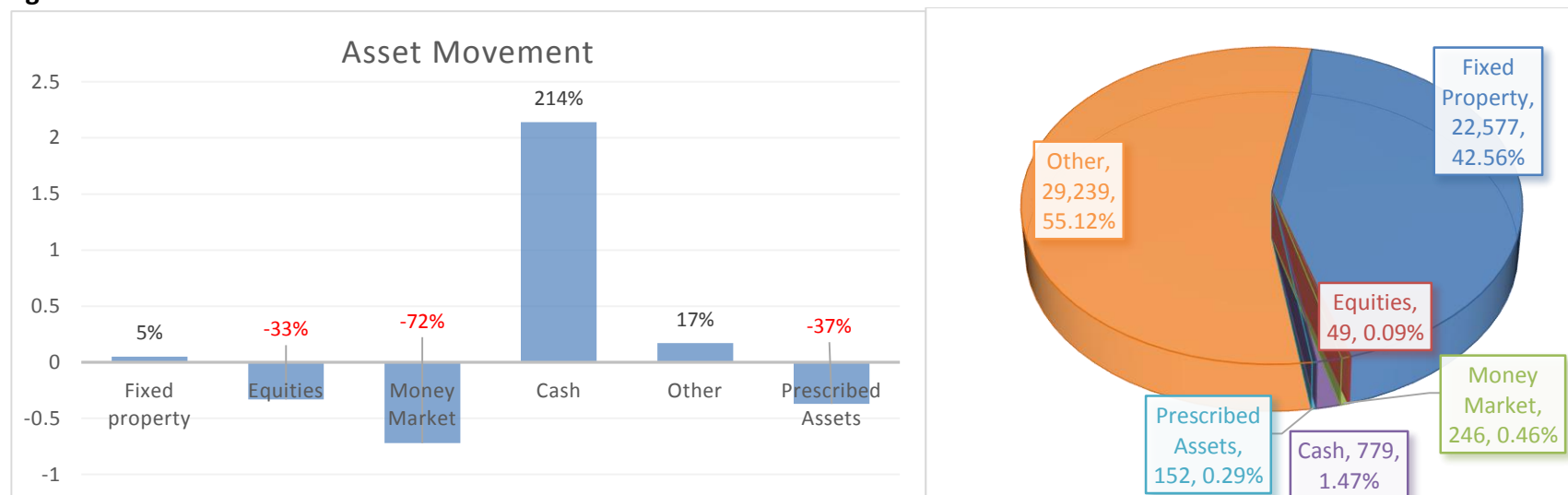
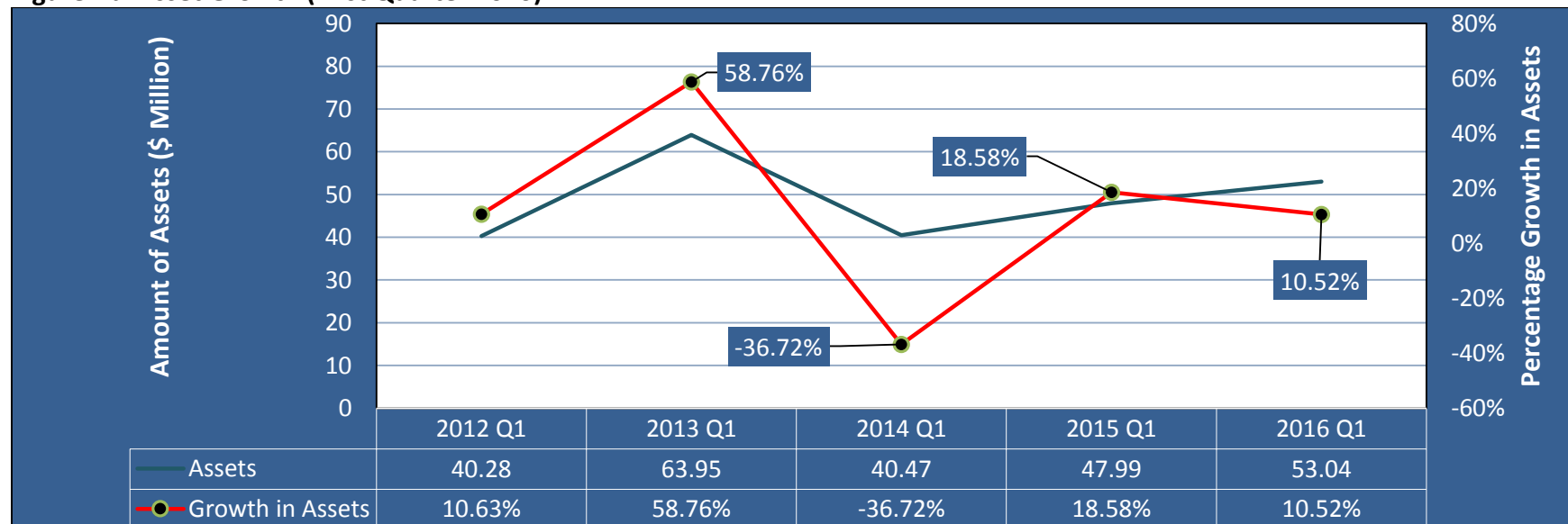


Figure 4b: Asset Growth (First Quarter 2016)



As at 31 March 2016, the total asset base remains highly skewed towards fixed assets-43% or \$23million (March 2015: \$22 million or 45%), equities-\$0.049 million or 0,1 %(March 2015: 0.073million or 0.1%), money market-\$0.246 million or 0.5% (March 2015: 0.889 million or 2%), cash assets-1% or \$0.779million (Mar 2015: \$ 0.248million or 1%) and other assets-\$29 million or 55% (Mar 2015: \$25 million or 52%). The uptake of prescribed paper continued to be low at 0.7%. The Commission approved compliancy plans as well as fining the non-compliant players.

The growth of assets since 31 March 2012 has been very inconsistent, with the industry suffering negative growth from 2015. This can be explained by negative returns in equities (-33%) and money market (-72%) witnessed by the market as shown in figure 4(a) above. To manage investment risk, players must use actuarial guidance in addition to regulatory guidelines.

12. Capitalization and Solvency

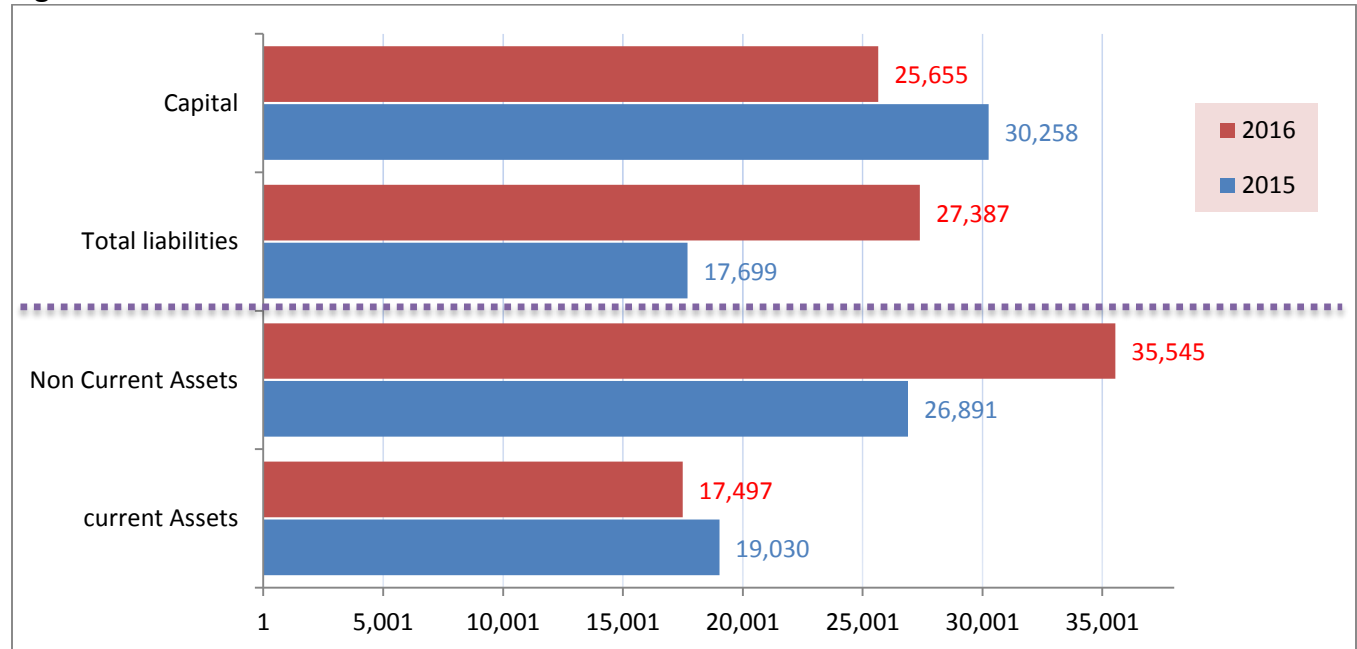
The Commission is prosecuting corrective measures in collaboration with the three entities whose capital levels are below the minimum required of \$1.5 million.

Table 10: Levels of Capitalization, Liquidity and Solvency Indicators as at 31 March 2016

Company	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)		
	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%	Mar-15	Mar-16	%
Cell	884	154	-83%	609	357	-41%	1,166	1,362	609	723	19%	557	639	15%	91%	88%	-3%	130%	43%	-87%
Doves	6,215	9,127	47%	1,439	1,727	20%	16,295	19,400	2,095	2,374	13%	14,200	17,025	20%	678%	717%	39%	432%	528%	96%
F.Funeral	6,564	2,184	-67%	400	413	3%	7,717	8,129	735	3,169	331%	6,982	4,960	-29%	950%	157%	-793%	1641%	529%	-1112%
Foundation	497	571	15%	428	445	4%	2,094	2,233	1,751	1,637	-7%	343	596	74%	20%	36%	16%	116%	128%	12%
Moonlight	3,423	4,188	22%	8,042	8,880	10%	13,556	14,735	11,284	12,117	7%	2,273	2,618	15%	20%	22%	2%	43%	47%	4%
Passion	791	375	-53%	358	393	10%	1,568	1,201	358	393	10%	1,210	808	-33%	338%	206%	-132%	221%	95%	126%
Ruvimbo	206	444	116%	387	275	-29%	1,892	2,178	387	645	67%	1,505	1,533	2%	389%	238%	-151%	53%	161%	108%
Sunset	1	11	1000%	116	193	66%	1,704	1,705	116	193	66%	1,588	1,512	-5%	1369%	783%	-586%	1%	6%	5%
Vineyard	449	453	1%	130	138	6%	1,963	2,099	363	384	6%	1600	1,715	7%	441%	447%	6%	345%	328%	-17%
Total	19,030	17,507	-8%	11,909	12,821	8%	47,995	53,042	17,698	21,635	22%	30,258	31,406	4%	171%	145%	-26%	146%	137%	-9%

As stated previously minimum capital levels for funeral players will increase to a proposed \$2.5 million by 31 December 2017. The Commission therefore encourages all players to start planning and implement capital injection to meet the stated minimum thresholds.

Figure 5: Assets and Liabilities Indicators



3.0 Summary Of Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting its operations:-

Table 10: Issued Circulars and Statutory Instruments for the Quarter

Statutory Instrument Issued	Subject	Date Gazzeted
Statutory Instrument 21 of 2016	Insurance and Pensions Commission (Levy) Regulations, 2016	12 February 2016
Statutory Instrument 22 of 2016	Pensions and Provident Funds (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 23 of 2016	Insurance (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 24 of 2016	Pension and Provident Funds (Amendment) Regulations, 2016 Commutations	19 th February 2016
Statutory Instrument 25 of 2016	Insurance (Amendment) Regulations ,2016 Prescribed Assets	19 th February 2016
Circular Issued	Subject	Date Issued

Circular 1 of 2016	Investment Guidelines For Life and Self-Administered Funds	14 January 2016
Circular 2 of 2016	Benefit Statements To Members of Pension Funds	4 March 2016

Table 11: List of Approved Prescribed Asset Paper

Issuer	Application Year	Purpose of Issue	Bond Amount and coupon rate	Amount raised	Uptake Ratio	Current status
ZPC KSPS	2014	To support the energy sector	\$50 million at 8%	\$25.05 million raised to date	50	open
Agribank & FBC	2015	To support the 2015/2016 agricultural season	\$10 million at a coupon rate of 10% p.a	Initial application of \$10million approved on the 9 th of September 2015. Second application of \$10million approved on the 6 th of November 2015. Total amount is now \$20million		open
Afreximbank	2015		\$100million	Approved on 08 Jan 2015. No update on amount raised and uptake ratios		Open
Old Mutual		Finance Budiriro Housing Project		\$62.8million at a coupon rate... and tenure of 10 years		Open
IDBZ	2016	Finance Housing projects	\$5 million at 9.5% coupon rate ,tenure 5 years	Approved on 11 May 2016		Open
Honde Hydro Power Consolidated	2016	Construction of Power Station	\$5 million at 8.5% to 9%	Approved on 11 May 2016		Open
NMB Bank	2016	Housing	\$10 Million at 8% p.a	Approved on 11 March 2016		Open

Conclusion

The quarter ended 31 March 2016 premium statistics show that growth was nearly flat. Funeral companies are encouraged to re-engineer their products which simultaneously achieves both affordability and easier transacting despite the current liquidity challenges in the economy. Despite profitability in the industry, mobilizing sufficient liquidity to fund adequate compliancy with the prescribed asset ratio of 7.5% continued to be a challenge. The funeral industry is however finalizing its own prescribed paper with assistance from Infrastructural Development Bank of Zimbabwe.